IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH (COURT– I) CHENNAI

ATTENDANCE CUM ORDER SHEET OF THE HEARING
HELD ON **27.06.2025** THROUGH VIDEO CONFERENCING

PRESENT: HON'BLE SHRI. SANJIV JAIN, MEMBER (JUDICIAL)
HON'BLE SHRI. VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

APPLICATION NUMBER	**:** CA(CAA)/45(CHE)/2024
PETITION NUMBER	**:** CP(CAA)/4(CHE)/2025
NAME OF THE PETITIONER(S)	**:** Annur Annamalaiar Spinning Mills Pvt Ltd
NAME OF THE RESPONDENTS	**:**
UNDER SECTION	**:** Sec 230-232 of CA, 2013

ORDER

Present: Ld. PCS Shri. M.R. Thiagarajan for the Petitioner.

Vide common order pronounced in Open Court, the scheme is approved. The original copy be kept in the file of CP(CAA)/4(CHE)/2025 and the copy be kept in the file of CP(CAA)/5(CHE)/2025.

Files be consigned to records.

Sd/-

(VENKATARAMAN SUBRAMANIAM)
MEMBER (TECHNICAL)

Sd/-

(SANJIV JAIN)
MEMBER (JUDICIAL)

MG

Date: 27.06.2025

IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH (COURT– I) CHENNAI

ATTENDANCE CUM ORDER SHEET OF THE HEARING
HELD ON **27.06.2025** THROUGH VIDEO CONFERENCING

PRESENT: **HON'BLE SHRI. SANJIV JAIN, MEMBER (JUDICIAL)**
HON'BLE SHRI. VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

APPLICATION NUMBER	**:** CA(CAA)/46(CHE)/2024
PETITION NUMBER	**:** CP(CAA)/5(CHE)/2025
NAME OF THE PETITIONER(S)	**:** Annur Annamalaiar Spintex Pvt Ltd
NAME OF THE RESPONDENTS	**:**
UNDER SECTION	**:** Sec 230-232 of CA, 2013

ORDER

Present: Ld. PCS Shri. M.R. Thiagarajan for the Petitioner.

Vide common order pronounced in Open Court, the scheme is approved. The original copy be kept in the file of CP(CAA)/4(CHE)/2025 and the copy be kept in the file of CP(CAA)/5(CHE)/2025.

Files be consigned to records.

Sd/-
(VENKATARAMAN SUBRAMANIAM)
MEMBER (TECHNICAL)

Sd/-
(SANJIV JAIN)
MEMBER (JUDICIAL)

MG

Date: 27.06.2025

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP(CAA)/04(CHE)/2025
in
CA(CAA)/45(CHE)/2024

(Under Sections 230 to 232 of the Companies Act, 2013
In the matter of Scheme of Arrangement (Demerger) between

ANNUR ANNAMALAIAR SPINNING MILLS PRIVATE LIMITED
CIN: U17111TZ2002PTC010292
Registered Office: No.3/135-1, Kovai Road,
Annur, Coimbatore-641653, Tamilnadu.
Represented by its Managing Director, Mr. A P Rangasamy

… Petitioner / Demerged / Transferor Company

and

CP(CAA)/05(CHE)/2025
in
CA(CAA)/46(CHE)/2024

(Under Sections 230 to 232 of the Companies Act, 2013

ANNUR ANNAMALAIAR SPINTEX PRIVATE LIMITED
CIN: U17300TZ2021PTC037203
Registered Office: No.3/135-1, ODP Village, Kovai Road,
Annur, Coimbatore-641653, Tamilnadu.
Represented by its Managing Director, Mr. A P Rangasamy

… Petitioner /Resulting/Transferee Company

and their respective Shareholders and Creditors.

*Order Pronounced **on 27th June 2025***

CORAM:

SANJIV JAIN, MEMBER (JUDICIAL)
VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

For Petitioners: Mr. M.R.Thiagarajan, PCS
For Regional Director: Mr. Avinash Krishnan Ravi, Advocate

COMMON ORDER

The Company Petitions bearing **CP(CAA)/04(CHE)/2025** and **CP(CAA)/05(CHE)/2025** have been filed by **Annur Annamalaiar Spinning Mills Private Limited** (**Demerged/Transferor Company**) and **Annur Annamalaiar Spintex Private Limited** (**Resulting/Transferee Company**) respectively under Sections 230 – 232 of the Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Rules 3 and 5 of the Companies (Compromise, Arrangements and Arrangements) Rules, 2016 and NCLT Rules 2016 in respect of the Scheme of Arrangement (Demerger) (hereinafter referred to as "**the Scheme**") pursuant to the Scheme proposed by the Petitioner Companies. The Scheme is placed at **Page 89 -125** of the Petition Typeset.

2. Affidavits in support of the present petitions have been submitted by Mr. A.P.Rangasamy on behalf of the Demerged/Transferor Company and Resulting/Transferee Company in the capacity of Managing Director. The corresponding Board Resolutions dated 17.06.2024 passed by the petitioner companies are also placed on record.

3. **SCHEME SUMMARY**:

The Scheme provides for demerger of the Demerged Undertaking (as defined in the Scheme) of Annur Annamalaiar Spinning Mills Private

Limited (Transferor Company) into Annur Annamalaiar Spintex Private Limited (Transferee Company)). It is stated that the Transferor Company and the Transferee Company come under the jurisdiction of this Tribunal.

4. **RATIONALE OF THE SCHEME:**

The rationale and benefits of the Scheme provided in Clause 1 of the Scheme are extracted here below:

> *1.1. Both Companies under the Scheme of Arrangement (demerger) are family companies having common shareholding by the family members. It is decided between the families that there shall be an arrangement within the family to ensure that the requirements of the group members of the family for future are taken care of so that there are no impediments to the business of the Companies arising as a result of any possible differences among the members of the family. This is expected to help the respective companies to carry on smoothly the business without being affected by any family matters in future.*
>
> *1.2. In order to segregate the individual undertaking business, it is intended to demerge the Demerged Undertaking of the Transferor / Demerged Company under the Scheme on a going concern basis into the Transferee / Resulting Company.*
>
> *1.3. For greater focus and concentration in the respective businesses, to ensure accelerated growth and improved profitability, in would be advantageous to re-organize and restructure the Demerged Company by demerging, transferring and vesting the Demerged Undertaking with the Resulting Company. The Scheme of Arrangement (Demerger) essentially to ensure better operational management and focus on accelerated growth of individual units, will ensure higher returns to the shareholders, creditors, employees*

and is also in general public interest. The proposed restructuring would result in better and efficient control by the management for the segregated business and promote their respective growth in still better manner. Further it will result in the following benefits also.

Greater Administrative Efficiency

Operational Rationalization, organisational efficiency and optimum utilization of various resources

Ability to leverage financial and operational resources for each business; and

Each business would be able to address independent business opportunities, pursue efficient capital allocation.

1.4. The proposed Scheme is likely to be value accretive for the shareholders and would enable them to select investments best suited to their respective investment strategies. Further, the segregation is also expected to unlock the value of the business of the Demerged Company.

1.5. The Scheme shall not be in any manner be prejudicial to the interests of concerned members, creditors and other stakeholders.

5. 1ST MOTION APPLICATION – IN BRIEF

5.1 The petitioner companies had filed the following First Motion Applications and sought for dispensation of convening /holding the meeting as follows:

Companies	**CA (CAA) No.**	**Dispensation of meeting sought for**
Demerged/Transferor Company	CA(CAA)/45(CHE)/2024	Shareholders / Secured Creditors / Unsecured Creditors
Resulting /Transferee Company	CA(CAA)/46(CHE)/2024	Shareholders / Unsecured Creditor

Based on the submissions, this Tribunal vide order dated 28.11.2024 issued directions for dispensation of necessity of convening, holding the meetings of the stakeholders of the Transferor Company and Transferee Company as prayed for.

5.2 Thereafter, the second motion petition has been filed before this Tribunal on 05.01.2025 for approval of the Scheme as per the provisions of the Companies Act, 2013 and the Companies (Compromise, Arrangements & Amalgamations) Rules, 2016.

5.3 In the 2nd motion petition filed by the petitioner companies, this Tribunal vide order dated 05.02.2025 directed the petitioner companies to issue notice to the Statutory / Sectoral Regulators as well as directed to issue paper publication in "Business Standard" English (All India Edition) and "Maalai Malar" Tamil (Tamil Nadu Edition).

6. In compliance with the said directions of this Tribunal, the petitioner companies effected paper publications in "**Business Standard**" **English** (**All India Edition**) and "**Maalai Malar**" **Tamil** (**Tamil Nadu Edition**) on 12.03.2025.

7. It is stated that notices were issued to the following authorities as under:

S.No.	Statutory Authorities	Date of Notice
1	Regional Director, Southern Region, Chennai	17.03.2025
2	Registrar of Companies, Coimbatore	18.03.2025
3	Income Tax Department, Coimbatore	18.03.2025

The Affidavit of Service (AOS) dated 20.03.2025 has been placed on record. Pursuant to the service of notice, the following statutory authorities have responded as under:

8. STATUTORY / REGULATORY AUTHORITIES

8.1. REGIONAL DIRECTOR

8.1.1. The Regional Director (RD), Southern Region to whom the notice was issued has filed its report on 05.06.2025 and made its observations. The relevant portion of observations is extracted below:

Para	Observations
8	*That Clause 3.3 of Part B of the Scheme provides that upon the Scheme becoming effective, in consideration of the demerger and transfer and vesting of all assets and liabilities, duties, rights and obligations relating to the Demerged undertaking of the Transferor Company in the Transferee Company in terms of Part B of the Scheme, the Transferee Company shall without any further act or deed, issue and allot 2 (Two) equity shares of Rs.100/- each credited as fully paid up of the Transferee Company for every 3 (Three) Equity Shares of Rs.100/- each fully paid up held by the Equity shareholders in the Transferor Company, as on the Record Date.*

9 *That clause 3.36 of Part-B of the Scheme provides that upon the Scheme becoming effective and with effect from the Appointed Date, the accounts representing the assets and liabilities of the Demerged undertaking shall stand closed on transfer to the Transferee Company, including the loans and advances, trade payables, provisions, fixed assets etc. relatable or pertaining to the Demerged Undertaking which will be transferred in entirely to the Transferee Company in accordance with the provisions of the Scheme.*

10 *That clause 3.18 of Part-B of the Scheme provides that upon the scheme becoming effective, all staff, workmen and employees engaged in the Demerged undertaking by the Transferor Company immediately before Effective Date shall become the staff, workmen and employees of the Transferee Company on the basis that their service shall have been continuous and shall not have been interrupted by reason of the demerger. The terms and conditions of service applicable to the said staff, workmen or employees after such transfer shall not in any way be less favourable to them than those applicable to them immediately before the transfer.*

11 *That as per the report dated 09.04.2025 of ROC, Coimbatore, the Demerged and Resulting Company are regular in filing their statutory returns and have filed upto 31.03.2024. ROC, Coimbatore has further stated that there is no prosecution / complaints / inspection or investigation pending against the Companies involved in the Scheme of Amalgamation.*

12 *That petitioner companies have to undertake to comply with the provisions of Section 240 of the Companies Act, 2013.*

13 *That the scheme of arrangement filed with the application has been examined and it has been decided to place the above facts and pray that this Tribunal may dispose of the matters on merits.*

8.2. <u>INCOME TAX AUTHORITIES</u>

8.2.1. The Notice was issued to the Income Tax Authority on 18.03.2025. However, the Income Tax authority has not

filed any reply / response pursuant to the notice. This Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme. Deemed Consent.

8.2.2. In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in ***RE: Vodafone Essar Gujarat Limited vs. Department of Income Tax (2013)353 ITR 222 (Guj)*** *and the same being also affirmed by the Hon'ble Supreme Court and as reported in* ***(2016) 66 taxmann.com.374(SC)*** *from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15, 2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."*

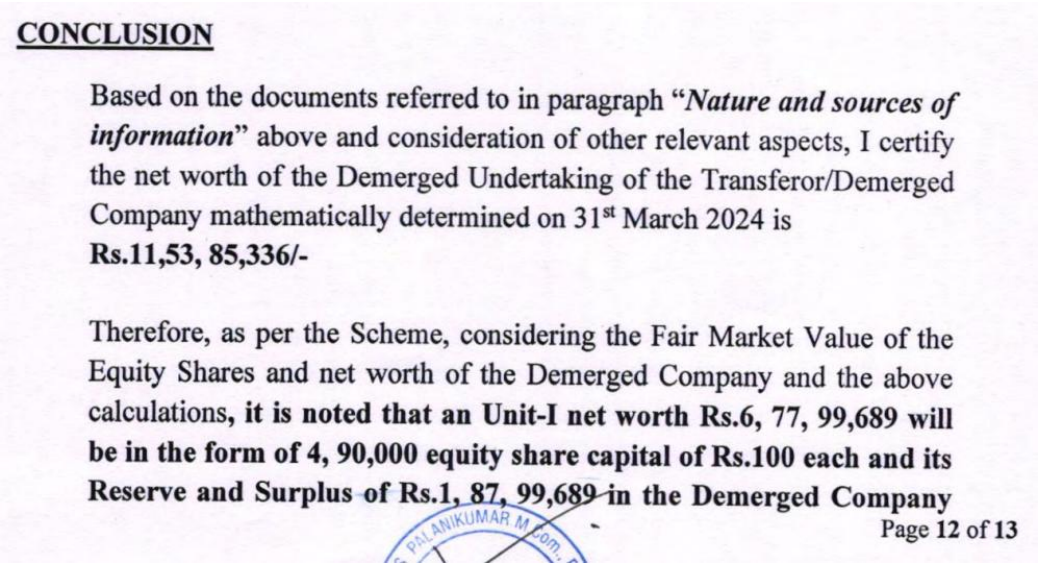
8.2.3. In view of the above judgment, the rights of the Income Tax Department for recovery of any statutory dues from the Transferor Company relatable to the demerged undertaking are protected.

9. **ACCOUNTING TREATMENT**

Certificate has been issued by the Statutory Auditor certifying that the Accounting Treatment specified in the Scheme of Arrangement (Demerger) is in compliance with the applicable Accounting Standards as notified under Sec 133 of the Companies Act, 2013 and other Generally Accepted Accounting Principles, as applicable and the same is placed on record.

10. **VALUATION**

The consideration for Arrangement (Demerger) as mentioned in Part-II of the Scheme of Arrangement based on the valuation report submitted by **Mr. S. Palanikumar, Registered Valuer**, (*IBBI Regn. No.IBBI / RV / 03 / 2019 / 11178)* for Financial Assets, Chennai appointed by the petitioner companies, is extracted here under:



CONCLUSION

Based on the documents referred to in paragraph "***Nature and sources of information***" above and consideration of other relevant aspects, I certify the net worth of the Demerged Undertaking of the Transferor/Demerged Company mathematically determined on 31st March 2024 is **Rs.11,53, 85,336/-**

Therefore, as per the Scheme, considering the Fair Market Value of the Equity Shares and net worth of the Demerged Company and the above calculations**, it is noted that an Unit-I net worth Rs.6, 77, 99,689 will be in the form of 4, 90,000 equity share capital of Rs.100 each and its Reserve and Surplus of Rs.1, 87, 99,689 in the Demerged Company**

Page **12** of **13**

of M/s.Annur Annamalaiar Spinning Mills Private Limited. Unit-II net worth Rs. 4,75,85,637 will be in the form of 1,96,000 equity shares capital of Rs.100 each and its reserve and surplus of Rs.2,79,85,637 in the resulting company of M/s.Annur Annamalaiar Spintex Private Limited.

ie. For every 3 (Three) equity shares of Rs.100/- each of Demerged Company (Annur Annamaliar Spinning Mills Private Limited) , 2 (Two) equity of Rs .100/- each of the Resulting Company (Annur Annamaliar Spintex Private Limited) has to be issued to the shareholders of the Demerged Company (Annur Annamaliar Spinning Mills Private Limited)

11. **OBSERVATION OF THIS TRIBUNAL**

11.1. With regard to the report of Regional Director (RD), it is observed that no substantial objection has been made to the scheme except certain compliance with the provisions of Section 240 of the Companies Act, 2013.

11.2 This Tribunal is of the view that the scheme as contemplated amongst the petitioner companies seem to be *prima facie* not, in any way detrimental to the interest of the members of the Company. In view of the absence of any material and substantial objections from any statutory authorities and since all the requisite statutory compliances have been fulfilled, this Tribunal sanctions the Scheme of Arrangement (Demerger) as well as allows the prayer made therein.

11.3 Notwithstanding the above, if there is any deficiency found, or the violation committed qua any enactment, statutory rule or regulation, the sanction granted by the Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the persons concerned, directors and officials of the petitioners.

11.4 While approving the Scheme as above, it is clarified that this order should not be construed as an order in way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission / compliance with any other requirement which may be specifically required under any law.

12. **THIS TRIBUNAL DO FURTHER ORDER**

(i) That all properties, rights and interests relatable to the Demerged Undertaking shall, pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Resulting /Transferee Company in terms of the Scheme.

(ii) That all the liabilities, powers, engagements, obligations and duties relatable to the Demerged Undertaking shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Resulting/Transferee Company in terms of the Scheme.

(iii) That the Appointed date for the Scheme shall be **01.04.2024** as mentioned in clause 2.1 (d) of Part A of the Scheme.

(iv) That all proceedings now pending by or against the Demerged Undertaking be continued by the Resulting / Transferee Company.

(v) That all the employees/workmen engaged in the Demerged Undertaking by the Transferor Company in service on the date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Resulting /Transferee Company without any break or interruption in their service with all the benefits.

(vi) That upon the Scheme becoming effective and in consideration of the demerger and transfer and vesting of all assets and liabilities, duties, rights and obligations relating to the Demerged Undertaking of the Transferor Company in the Resulting Company in terms of this Scheme, the Resulting Company shall, without any further application, act or deed, consent, acts, instrument or deed, issue and **allot 2 (Two) Equity Shares of Rs.100/- each**

credited as fully paid up of the Transferee Company for every 3 (Three) Equity Shares of Rs.100/- each fully paid up held by the Equity Shareholders in the Transferor Company to all the shareholders of the Transferor Company, whose names are recorded in the register of members as a member of the Transferor Company on the Record Date or to such of their respective heirs, executors, administrators or other legal representative or other successors.

(vii) That the Transferee Company shall file the revised Memorandum of Association (MOA) and Articles of Association (AOA) with the Registrar of Companies, Coimbatore and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That both the Petitioner Companies, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the demerged undertaking of the Transferor Company shall be deemed to be transferred to the Resulting Company and the Registrar of Companies shall take appropriate steps in accordance with the applicable rules and regulations.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

13. Accordingly, the Company Petitions **CP(CAA)/4(CHE)/2025** and **CP(CAA)/5(CHE)/2025** stand **ALLOWED** on the aforementioned terms and are disposed of.

-Sd-	**-Sd-**
VENKATARAMAN SUBRAMANIAM	**SANJIV JAIN**
MEMBER (TECHNICAL)	MEMBER (JUDICIAL)

SLA